The Effects of Downsizing on Organizational Buying Behavior: An Empirical Investigation

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To survive in today's highly competitive markets, many firms are initiating fundamental changes in organizational form and practice. These restructuring efforts are having significant effects on the organization and management of work within customer firms. However, these important changes have been largely ignored in the extant marketing literature. The research presented in this article first describes a general theory of the effects of organizational downsizing. Then, it examines the potential effects of downsizing on buying center structure and purchase participant characteristics. Findings support several of the hypotheses related to the proposed effects of organizational downsizing on the outcome variables of interest.

The pace of organizational change has accelerated, and most organizations now operate within much more complex environments (Watkins 1994). In the past, many organizations focused on vertical integration as a means of increasing control in uncertain environments (cf. Williamson 1975). Today, however, organizations are finding it less beneficial to own and operate a large number of factories or to employ a large number of people (cf. Cascio and Young 1997; Werhane 1999). To survive, many firms are looking for alternatives to hierarchical structures and are altering their form and practice to adapt to rapid change and increased competition. These developments have collectively precipitated a shift in the corporate paradigm toward smaller, flexible organizations that can better accommodate novelty, innovation, and change (Bahrami 1992). As a result of these changes, the practice of corporate downsizing has become pervasive. Even as economies expand, downsizing continues, and experts believe that the downsizing trend is far from over (cf. Challenger 1999; Porter 1998)—since much of the change seems to represent permanent shifts in economic and organizational structures (McKinley, Sanchez, and Schick 1995).

Purchasing departments have not escaped these trends (Giunipero, Dawley, and Anthony 1999). Furthermore, the extensiveness of downsizing in procurement has many deeply concerned (Morgan 1997). For example, a recent survey found that 41 percent of purchasers had experienced significant downsizing in their departments in recent years (Fitzgerald 1999). In a separate survey, purchasers indicated that downsizing had left them woefully shorthanded, leaving existing staff to juggle too many projects, too many deadlines, and too many work hours (Porter 1999). As Michaels, Kumar, and Samu (1995) observe, due to a variety of factors, including downsizing, "purchasing decisions are currently being made under conditions of greater uncertainty than ever before" (p. 11).

For savvy marketers, however, these conditions are creating important opportunities. These opportunities lie in first understanding the changing needs of today's downsized purchasers and then carefully developing the product-service combination that best satisfies these needs. Therefore, one major objective of this research is to examine these important issues to provide marketers with insights into how they can refine their offering to best satisfy downsized customers' needs. This topic is discussed in greater detail in the Managerial Implications section.

RESEARCH SYNOPSIS

A considerable amount of attention has been directed toward downsizing in the management and psychology

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literatures and in the business press (cf. Schmenner and Lackey 1994; Wiesenfeld, Brockner, and Martin 1999). Most of this interest focuses on the benefits expected to accrue to firms embracing such initiatives (cf. Fitzgerald 1999; Simpson 1994), with little attention directed toward downsizing's effects on the roles and functions of survivors (Bresnen and Fowler 1994). Moreover, while there currently exists a host of anecdotal articles, empirical studies examining the effects of downsizing are largely absent from the research literature (Luthans and Sommer 1999; Wager 1997).

This lack of attention is especially acute within the marketing research literature, which has virtually ignored these changing dynamics. As Piercy (1998) observes, the "lean enterprise" philosophy largely conflicts with conventional marketing approaches, a situation exacerbated by marketing research's failure to respond effectively to widespread corporate downsizing. In addition, Sheth (1996) argues that industry restructuring has caused fundamental changes in organizational purchasing, creating opportunities for innovative and insightful academic research.

To that end, drawing on threat-rigidity thesis (Staw, Sandelands, and Dutton 1981), classic administration theory (Blau 1970; Child 1973), and the more recent work of Sutton and D'Aunno (1989), this study investigates the effects of organizational downsizing on buying center structure and purchase participant characteristics. It should be noted, however, that the proposed theory and related outcomes of downsizing studied in this research may be applicable to other forms of organizational redesign.[1]

The remainder of this article is organized as follows: first, the theoretical underpinnings are reviewed. Then, applying this theoretical grounding, the proposed model and associated hypotheses are developed. Next, the study's methods and results are presented, and finally, the managerial implications of the findings are discussed.

THEORETICAL RELATIONSHIPS

Threat-rigidity thesis (Staw et al. 1981) posits that decreases in organizational resources (e.g., workforce size) are threatening to organizational members. The anxiety generated by such threats is proposed to lead to mechanistic structures throughout the organization, as managers seek to consolidate their control. Thus, to the extent that decreasing size is threatening, departments and decision-making groups within downsizing organizations are expected to shift toward more mechanistic structures as manifested through (1) increased centralization of authority, (2) increased emphasis on formal rules and procedures, and (3) decreased participative decision making. In contrast, classic administrative theory suggests that as organizations decrease in size, problems of coordination and control are reduced and can be handled by more organic means, including decentralization of authority, decreased emphasis on formal rules and procedures, and increases in participative decision making (cf. Sutton and D'Aunno 1989).

Attempting to reconcile this seemingly contradictory set of expected outcomes, Sutton and D'Aunno (1989) argue that a significant reduction in workforce size evokes both (1) mechanistic shifts in organizational structure due to the increased anxiety among surviving organizational members and (2) at the same time, a decrease in the organization's need for coordination and control brought about by the smaller workforce. These competing forces occur simultaneously, but initially the anxiety produced by workforce reduction will prevail, and the expected mechanistic shifts will likely occur. However, once the anxiety provoked by workforce reduction wanes, many of these mechanistic means of coordination and control will be gradually eliminated.

Furthermore, Sutton and D'Aunno (1989) identify three key downsizing characteristics that significantly influence the expected effects: (1) the *degree of downsizing*, (2) the *severity of implementation tactics* used to downsize, and (3) members' *negativity in outcome expectations* as to the results of downsizing (discussed more fully below). Recent empirical studies have found some support for these downsizing characteristics (cf. Robbins 1999; Wager 1997, 1998).

Sutton and D'Aunno (1989) also propose that downsizing firms can be expected to move through two distinct stages. These stages likely will moderate the effects of these three downsizing characteristics. Specifically, during Stage 1 (Stage 1 firms are defined as firms that are either currently downsizing or have completed downsizing within the past 2 years), the stress and anxiety brought about by greater degrees of downsizing, more severe implementation tactics, and greater negativity in outcome expectations are amplified and lead to increased mechanistic structures. However, in the longer term, when downsizing initiatives are completed and fears of further downsizing initiatives disappear, the threat abates and organizations move into Stage 2 (Stage 2 firms are defined as firms that have previously completed downsizing, have not implemented downsizing initiatives for 2 or more years, and are not expected to downsize further in the foreseeable future). This latter shift brings about a change in structure so that more organic means of coordination and control will be adopted throughout the organization.[2]

Degree of Downsizing

The degree of reduction in workforce size may significantly influence the strength of the anticipated effects. For example, Staw et al. (1981) argue that the shift toward mechanistic structures depends on whether the reduction

represents a significant, fundamental shift in resources or a modest, temporary disruption in an essentially supportive environment. Similarly, Ford and Bacus (1987) observe that if managers perceive reductions in resources as minor and temporary, little or no rigidity may occur. In contrast, large losses in resources may cause managers to construe that they face a significant threat, and resulting rigidities in structures occur. Analogous arguments can be found in the works of Sutton and D'Aunno (1989; D'Aunno and Sutton 1992). In addition, Sutton and Kahn (1987) argue that as the magnitude and duration of downsizing initiatives increase, survivors' perceptions of threat and uncertainty increase as well. These growing stressors lead to greater levels of role conflict and risk aversion and lower levels of organizational commitment.

Severity of Implementation Tactics

The extent to which workforce reduction is threatening may depend on the implementation tactics through which it is accomplished. Natural attrition and voluntary redeployment are often viewed as the least severe tactics and layoff without assistance and abrupt termination the most severe. Sutton and D'Aunno (1989) argue that "layoffs (*i.e., terminations*) are clearly the most threatening form of work force reduction for all groups of surviving employees" (p. 205). The increased threat comes from at least two sources. First, survivors feel guilty because they avoided the fate of their former coworkers; second, survivors worry they will be terminated next if further downsizing is expected (Brockner et al. 1986). In contrast, downsizing through natural attrition or voluntary redeployment is much less threatening since survivors have no reason to feel either guilty or anxious (Sutton and D'Aunno 1989). Thus, it is expected that the use of severe strategies will be more threatening to survivors and provoke more pronounced and longer lasting mechanistic shifts in structure. In addition, the use of severe strategies likely will increase levels of role conflict and risk aversion and decrease levels of organizational commitment felt by survivors. Support for these arguments can be found in the work of Brockner, DeWitt, Grover, and Reed (1990); Brockner et al. (1994); and Wager (1997).

Negativity of Outcome Expectations

Finally, organizational members' expectations of the outcomes related to downsizing can influence the predicted effects. For example, members may perceive downsizing as a "necessary evil" needed to ensure the firm's long-term health (Mishra and Spreitzer 1998). To the extent that such positive perceptions are collectively held, it is expected that downsizing will lead to less rigidity in structure and that the transition to more organic structures likely will occur more quickly (Sutton and D'Aunno 1989). In contrast, uncertainty surrounding downsizing is likely to increase when survivors believe that downsizing was avoidable, question the legitimacy of the decision to downsize, and begin to speculate that the organization will take additional questionable actions (Brockner et al. 1990). In these situations, as survivors develop negative outcome expectations—believing that downsizing will result in a weakened organization—greater rigidity is expected and will likely continue until these collective negative perceptions subside (Sutton and D'Aunno 1989). These negative perceptions also are expected to increase survivors' levels of role conflict and risk aversion and decrease levels of organizational commitment. Limited support for these propositions is found in the work of Brockner et al. (1990) and Wager (1997).

DOWNSIZING'S EFFECT ON ORGANIZATIONAL BUYING BEHAVIOR

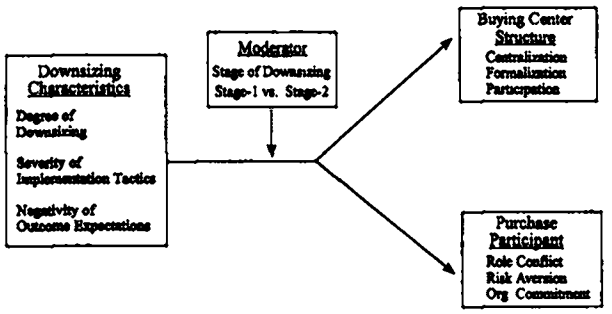
Coupling Sutton and D'Aunno's (1989) propositions with the extant theoretical and empirical work found in the management and psychology literatures (discussed more fully below), the model shown in Figure 1 emerges. In sum, downsizing's effect on buying center structure and purchase participant characteristics is expected to be significantly influenced by the degree of downsizing that has taken place, the severity of implementation tactics used to accomplish downsizing objectives, and/or the negativity of outcome expectations held by surviving organizational members. More specifically, as each of these downsizing characteristics increases in intensity, buying center structure is expected to exhibit greater levels of centralization of authority and greater emphasis on the use of formal rules and procedures but lower levels of participative decision making. Also, purchase participants are expected to experience greater levels of role conflict and greater risk aversion but lower levels of organizational commitment.

Furthermore, these anticipated effects are expected to be moderated by the stage of downsizing the organization is currently in. That is, the influence of degree of downsizing, severity of implementation tactics, and negativity of outcome expectations on buying center structure and purchase participant characteristics are expected to be greater within Stage 1 organizations as compared with Stage 2 organizations. The specific hypotheses related to downsizing's effects on organizational buying behavior will now be discussed in more detail.

Downsizing and Buying Group Structure

The concept of the organizational buying center has generated numerous research studies (cf. Johnston and Bonoma 1981; McQuiston 1989). A significant number of

FIGURE 1
Downsizing's Effect on Organizational Buying Behavior



these prior studies concentrated on three aspects of buying center structure: centralization, formalization, and participation in decision making[3] (cf. Barclay 1991; Spekman and Stern 1979). One construct found to consistently and significantly influence buying center structure is the extent of threat or uncertainty facing these decision-making groups (cf. Dwyer and Welsh 1985; Kohli 1989).

Combining this prior research with Sutton and D'Aunno's (1989) general theory, it is posited here that the uncertainty created by downsizing is perceived as threatening to organizational members (cf. Brockner et al. 1990; Mishra and Spreitzer 1998). In response to this threat and uncertainty, buying centers in downsized organizations are expected to exhibit more mechanistic structures, especially buying centers within Stage 1 organizations. However, as organizations transition to Stage 2, buying centers within these organizations are expected to exhibit less mechanistic structures (more organic structures). Thus, the following suggestions are made:

Proposition 1: Degree of downsizing will be positively related to buying center (1) centralization of authority and (2) emphasis on formal rules and procedures and negatively related to (3) participative decision making.

Hypothesis 1: The strength of the predicted relationships between degree of downsizing and (1) centralization of authority, (2) emphasis on formal rules and procedures, and (3) participative decision making will be greater for buying centers within Stage 1 organizations compared with buying centers within Stage 2 organizations.

Proposition 2: Severity of implementation tactics will be positively related to buying center (1) centralization of authority and (2) emphasis on formal rules and procedures and negatively related to (3) participative decision making.

Hypothesis 2: The strength of the predicted relationships between severity of implementation tactics and (1) centralization of authority, (2) emphasis on formal rules and procedures, and (3) participative decision making will be greater for buying centers within Stage 1 organizations compared with buying centers within Stage 2 organizations.

Proposition 3: Negativity of outcome expectations will be positively related to buying center (1) centralization of authority and (2) emphasis on formal rules and procedures and negatively related to (3) participative decision making.

Hypothesis 3: The strength of the predicted relationships between negativity of outcome expectations and (1) centralization of authority, (2) emphasis on formal rules and procedures, and (3) participative decision making will be greater for buying centers within Stage 1 organizations compared with buying centers within Stage 2 organizations.

Downsizing and Purchase Participant Characteristics

Purchase participant characteristics also have been studied extensively in the marketing literature. Of the various characteristics previously studied, role conflict, risk aversion, and organizational commitment are examined here.[4]

Participant Role Conflict

The importance of role conflict has been recognized within the marketing literature (e.g., Barclay 1991; Michaels, Day, and Joachimsthaler 1987). Because purchasers must interact frequently with people from other departments and organizations, as well as accommodate requests from a variety of internal and external constituents, they experience role conflict due to often incongruous and/or vague expectations (cf. Michaels and Dixon 1994; Michaels et al. 1995).

According to Brockner, Grover, Reed, DeWitt, and O'Malley (1987), as firms downsize, there is great potential for a type of role conflict known as role overload,[5] as the number of tasks to be accomplished remains constant, but fewer people are available to accomplish these tasks. Simultaneously, to enhance their job security, survivors often feel the need to demonstrate superior performance (Isabella 1989; Robbins 1999). As these expectations place insurmountable demands on surviving employees, they often experience role conflict via role overload. Purchase participants in downsizing organizations are particularly susceptible to role overload as they must accomplish a greater portion of departmental tasks, in addition to the tasks defined by their roles within the buying center.

Furthermore, the extent to which an organization's work activities are defined by formal rules and procedures has been linked to role conflict both conceptually and empirically (e.g., Michaels et al. 1987; Nicholson and Goh 1983). Therefore, if (as expected) there is an initial shift to more mechanistic structures, then the resulting emphasis on the use of formalized rules and procedures is likely to

increase role conflict among buying center participants. However, as Stage 2 organizations adopt more organic structures, role conflict should abate as purchase participants begin to enjoy more job-related autonomy and flexibility in decision making.

Participant Risk Aversion

The role of risk and risk handling strategies as significant elements of industrial purchasing has been demonstrated in prior research (e.g., Henthorne, LaTour, and Williams 1993; Puto, Patton, and King 1985). The tendency toward risk aversion among buying center participants is a consistent finding across these studies. More recently, Hyman (1995) reports that in downsized firms, purchasers are often pressured to increase productivity, meet restrictive deadlines, and mediate increased conflict between internal customers and external suppliers. As a result of these stressful situations, purchasers become increasingly risk averse. In addition, Wager (1998) found that survivors spend much of their time struggling under the weight of more work and avoiding anything that approaches risk taking. Instead, surviving purchasers develop a nearly compulsive concern with following rules and procedures, become obsessive about risk avoidance, and strive exorbitantly to accommodate all concerned (Hyman 1995; Robbins 1999). Similar findings are reported by Fombrun and Ginsberg (1990) and Hitt, Keats, Harback, and Nixon (1994). Therefore, it seems reasonable to expect that buying center participants involved in an important purchase decision and working in downsizing organizations will become increasingly risk averse.

Participant Organizational Commitment

As a result of downsizing, purchasing decisions are now made under conditions of greater uncertainty and stress. In their study of 330 purchasing professionals, Michaels et al. (1995) found that increased job-related stress (due to factors including downsizing) was positively correlated with decreased organizational commitment among purchasers. These findings are similar to those of Brockner et al. (1987), who found that downsizing initiatives result in decreased organizational commitment on the part of downsizing survivors. As a result, the organization becomes increasingly vulnerable to defections, further decreasing survivor commitment (Hitt et al. 1994; Porter 1999). Additional empirical support for these decreased levels of organizational commitment can be found in the research of Brockner et al. (1994), Wager (1998), and Luthans and Sommer (1999).

Moreover, motivation theorists posit that individuals work within firms to receive rewards. Several studies provide support for this perspective and its impact on purchase participants (e.g., Chambers, Anderson, and Dunlap 1986; McQuiston and Dickson 1991). However, today's downsized firms provide fewer opportunities for extrinsic rewards (i.e., promotion, advancement), and neither their mechanistic structures nor threatening climates are conducive to the realization of intrinsic rewards. Therefore, it is unlikely that survivors will be committed to the organization. The preceding discussions suggest the following:

Proposition 4: Degree of downsizing will be positively related to purchase participant (1) role conflict and (2) risk aversion and negatively related to (3) organizational commitment.

Hypothesis 4: The strength of the predicted relationships between degree of downsizing and (1) role conflict, (2) risk aversion, and (3) organizational commitment will be greater for buying centers within Stage 1 organizations compared with buying centers within Stage 2 organizations.

Proposition 5: Severity of implementation tactics will be positively related to purchase participant (1) role conflict and (2) risk aversion and negatively related to (3) organizational commitment.

Hypothesis 5: The strength of the predicted relationships between severity of implementation tactics and (1) role conflict, (2) risk aversion, and (3) organizational commitment will be greater for buying centers within Stage 1 organizations compared with buying centers within Stage 2 organizations.

Proposition 6: Negativity of outcome expectations will be positively related to purchase participant (1) role conflict and (2) risk aversion and negatively related to (3) organizational commitment.

Hypothesis 6: The strength of the predicted relationships between negativity of outcome expectations and (1) role conflict, (2) risk aversion, and (3) organizational commitment will be greater for buying centers within Stage 1 organizations compared with buying centers within Stage 2 organizations.

METHOD

Measure Development and Purification

Seven multi-item measures (initially containing five to seven items each) were used to investigate the perceptual relationships of interest in this study (see the appendix). In addition, one two-item and two single-item measures were used to assess stage of downsizing, degree of downsizing, and implementation tactics used to downsize.[6] Of the seven multi-item measures, six were adapted from previous empirical studies (i.e., centralization of authority, formal rules and procedures, participative decision making, role conflict, organizational commitment, and negative outcome expectations), and one was newly developed (to measure risk aversion). The single, newly developed scale was based on an extensive review of the relevant literature and interviews with academicians and purchasing professionals.

In addition, two pretests were performed to further refine the selected items. First, seven academicians were asked to review the proposed items for clarity and representativeness based on their knowledge and experience. Second, iterative personal interviews were conducted with 20 purchasing managers employed in a large metropolitan area. Each purchasing professional answered the questionnaire and, as they read the questions and instructions, verbalized any thoughts that came to mind (e.g., ambiguity, inapplicability). All elements of the questionnaire's instructions, items, and format were revised based on each personal interview until no further changes were suggested.

Also, as is customary, introductory statements were included in key sections of the questionnaire. For example, the following statement appeared at the beginning of the section focusing on buying center structure: "When answering the following questions please consider a purchase decision (1) where the outcome is of *considerable importance to your company* and (2) that requires the input and involvement of people from several departments or functional units (a *buying group*) within the company." Similarly, the following statement appeared at the beginning of the section focusing on purchase participant characteristics: "We are interested in your perceptions or beliefs about the current work environment within your company. When answering the following questions please think of that part of the company for which your department has buying responsibility." Each of these introductory statements was pretested using the methods discussed in the preceding paragraph.

Prior to hypotheses testing, unidimensionality, reliability, and convergent and discriminant validity were assessed for each individual measure, as well as each group of theoretically related measures (Gerbing and Anderson 1988; Jöreskog and Sörbom 1989). First, item-to-total correlations were examined for the items in each measurement scale. Items with low correlations were deleted if they tapped no additional domain of interest. Next, confirmatory factor analyses were performed on items from subsets of theoretically related measures (based on the proposed hypotheses) to assess unidimensionality.[7] Finally, models ranging from one to n factors were estimated, with n corresponding to the number of hypothesized measures. Without exception, the models representing the predicted number of constructs were superior to all other models estimated as indicated by their individual goodness-of-fit indices (χ^2) and low cross-loadings between constructs (Moorman, Deshpandé, and Zaltman 1993). Table 1 contains the properties of the purified measures.

In addition, discriminant validity was examined by analyzing the Pearson correlation coefficients among constructs. Following previous research, discrimination is achieved "when each correlation is less than 1.0 by an amount greater than twice its respective standard error" (cf. Tax, Brown, and Chandrashekaran 1998:67). All pairwise correlations are less than 1 by amounts significantly greater than twice their respective standard errors (see Table 2).

TABLE 1
Properties of Purified Measures

Measures	*Items*	*Range*	*Mean*	*Standard Deviation*	*Alpha*
Downsizing characteristics					
Degree of downsizing[a]	1	1-4	2.47	0.99	—
Severity of implementation tactics[a]	1	1-6	3.64	1.54	—
Negativity of outcome expectations[b]	4	1-7	4.34	1.53	.88
Buying group characteristics					
Centralization of authority[b]	3	1-7	4.30	1.40	0.67
Formalized rules and procedures[b]	3	1-7	4.59	1.59	0.89
Participation in decision making[b]	3	1-7	2.44	0.70	0.77
Buying group participant					
Role conflict[b]	3	1-7	4.40	1.62	0.85
Risk aversion[b]	4	1-7	3.89	1.42	0.85
Organizational commitment[b]	3	1-7	4.31	1.72	0.90
Moderator					
Stage of downsizing[c]	2	0-1	—	—	—

a. Single-item measures; hence, alphas are not reported.
b. Items were measured using a Likert-type scale where 1 = *strongly disagree* and 7 = *strongly agree*.
c. Dummy coded: Stage 1 = 1, Stage 2 = 0.

Procedure

The sampling frame consisted of all members of the National Association of Purchasing Management of Georgia (NAPM-GA). Included with their monthly newsletter, each member (513) of NAPM-GA was mailed a survey, along with a cover letter and a self-addressed, prepaid return envelope. A similar second mailing was included with the following month's newsletter. To foster response rates, respondents could choose to be included in a lottery drawing for 1 of 10 cash prizes ranging from $50 to $500. The combined mailings produced 215 usable questionnaires (41.9%). Of these, 31 were from firms that had never downsized, 124 were from Stage 1–type firms, and 60 were from Stage 2–type firms. Response bias was assessed in two ways. First, the sample was split into early and late responses. Then, responses were compared on all key variables, and no significant differences were found. Second, the sample was split into Stage 1 and Stage 2 organizations. Then, all organization (e.g., sales, income, number of employees) and respondent (e.g., age, education,

TABLE 2
Correlations Among Constructs

	BGAUTH	*BGRULS*	*BGDECS*	*ROLE*	*RISK*	*ORGCOM*	*DEGDWN*	*IMPDWN*	*OUTCOM*	*STAGE*
BGAUTH	1.00									
BGRULS	0.492*	1.00								
	(0.11)									
BGDECS	–0.026	–0.116	1.00							
	(0.09)	(0.10)								
ROLE	0.274*	0.037	–0.016	1.00						
	(0.07)	(0.08)	(0.07)							
RISK	0.606*	0.311*	–0.051	0.449*	1.00					
	(0.09)	(0.09)	(0.06)	(0.08)						
ORGCOM	–0.216*	–0.109	0.018	–0.424*	–0.469*	1.00				
	(0.08)	(0.07)	(0.07)	(0.06)	(0.04)					
DEGDWN	–0.055	–0.024	0.126***	0.039	0.027	0.062	1.00			
	(0.11)	(0.12)	(0.05)	(0.11)	(0.10)	(0.12)				
IMPDWN	–0.061	–0.069	0.111	0.037	–0.024	0.093	0.237*	1.00		
	(0.09)	(0.10)	(0.04)	(0.08)	(0.08)	(0.09)	(0.04)			
OUTCOM	0.286*	0.095	–0.121	0.519*	0.516*	0.460*	–0.079	0.137***	1.00	
	(0.07)	(0.09)	(0.03)	(0.06)	(0.07)	(0.08)	(0.04)	(0.03)		
STAGE	–0.147**	0.059	–0.024	–0.152**	0.213*	–0.220*	–0.118	0.152**	–0.126***	1.00
	(0.08)	(0.09)	(0.04)	(0.06)	(0.08)	(0.08)	(0.06)	(0.07)	(0.05)	

NOTE: Pearson correlation coefficient (*SE* in parentheses). BGAUTH = centralization of authority; BGRULS = emphasis on rules and procedures; BGDECS = participation in decision making; ROLE = role conflict; RISK = risk aversion; ORGCOM = organizational commitment; DEGDWN = degree of downsizing; IMPDWN = severity of implementation tactics; OUTCOM = negativity of outcome expectations; STAGE = stage of downsizing. Where the correlations between constructs are high, in no case are the intercorrelated constructs copredictors of a dependent variable (Hair, Anderson, Tatham, and Black 1992).
*$p < .01$. **$p < .05$. ***$p < .10$.

years of purchasing experience) demographic data were compared, and no significant differences were found.[8]

RESULTS

To test the hypotheses, it was necessary to estimate the main effects that the predictor variables degree of downsizing, severity of implementation tactics used to downsize, and negativity in outcome expectations have on the six criterion variables associated with buying center structure and purchase participant characteristics (e.g., centralization of authority, role conflict). In addition, it was necessary to examine the moderating (interaction) effects between stage of downsizing and the three predictor variables (e.g., degree, severity, negativity) on the six criterion variables.

An appropriate statistical method to estimate these effects is multiple regression analysis. As part of the initial regression analysis, several diagnostic tests, graphs, and scatterplots of the residuals were used to test the assumptions of normality, linearity, and homoscedasticity. An examination of the results of these tests and plots suggests that these assumptions were appropriate. Furthermore, an examination of additional diagnostic tests indicated no serious multicollinearity problems.

Therefore, a series of six ordinary least squares (OLS) regression models were estimated (see Table 3). The independent variables in each of the six regression models were (1) degree of downsizing, (2) severity of implementation tactics, (3) negativity in outcome expectations, (4) stage of downsizing (coded Stage 1 = 1 and Stage 2 = 0), (5) degree of downsizing • stage of downsizing, (6) implementation tactics • stage of downsizing, and (7) outcome expectations • stage of downsizing. The dependent variable in each equation was one of the buying group structure or purchase participant characteristic variables (e.g., centralization of authority, role conflict). By way of an example, the first regression model with centralization of authority as the dependent variable would be represented by the following:

$$Y = \beta_1(X_1) + \beta_2(X_2) + \beta_3(X_3) + \beta_4(X_4) + \beta_5(X_1X_4) + \beta_6(X_2X_4) + \beta_7(X_3X_4),$$

where Y = centralization of authority, X_1 = degree of downsizing, X_2 = severity of implementation tactics, X_3 = negativity in outcome expectations, and X_4 = stage of downsizing.

Hypothesis 1: Relationship Between Degree of Downsizing and Buying Center Structure—Moderating Effect of Stage of Downsizing

Hypothesis 1 states that the strength of the predicted relationships between degree of downsizing and (1)

centralization of authority, (2) emphasis on formal rules and procedures, and (3) participative decision making will be greater for buying centers within Stage 1 organizations compared with buying centers within Stage 2 organizations. Statistical support is found for the hypothesized moderating effect of the relationship between degree of downsizing and centralization of authority ($\beta = .54$, $p < .01$) and degree of downsizing and participative decision making ($\beta = -.42$, $p < .05$).

Hypothesis 2: Relationship Between Implementation Tactics and Buying Center Structure—Moderating Effect of Stage of Downsizing

Hypothesis 2 states that the strength of the predicted relationships between severity of implementation tactics and (1) centralization of authority, (2) emphasis on formal rules and procedures, and (3) participative decision making will be greater for buying centers within Stage 1 organizations compared with buying centers within Stage 2 organizations. Statistical support is found for the hypothesized moderating effect of the relationship between implementation tactics and centralization of authority ($\beta = .53$, $p < .05$).

Hypothesis 3: Relationship Between Outcome Expectations and Buying Center Structure—Moderating Effect of Stage of Downsizing

Similarly, Hypothesis 3 states that the strength of the predicted relationships between negativity of outcome expectations and (1) centralization of authority, (2) emphasis on formal rules and procedures, and (3) participative decision making will be greater for buying centers within Stage 1 organizations compared with buying centers within Stage 2 organizations. No statistical support is found for these hypothesized moderating effects. Statistical support is, however, found for negativity of outcome expectations' positive main effect on centralization of authority ($\beta = .28$, $p < .01$) and negative main effect on participative decision making ($\beta = -.14$, $p < .10$) within buying centers.

Hypothesis 4: Relationship Between Degree of Downsizing and Purchase Participant Characteristics—Moderating Effect of Stage of Downsizing

Hypothesis 4 states that the strength of the predicted relationships between degree of downsizing and (1) role conflict, (2) risk aversion, and (3) organizational commitment will be greater for buying centers within Stage 1 organizations compared with buying centers within Stage 2 organizations. Statistical support is found for the hypothesized moderating effect of the relationship between degree of downsizing and organizational commitment ($\beta = -.28$, $p < .10$). In addition, statistical support is found for degree of downsizing's positive main effect on role conflict ($\beta = .12$, $p < .10$).

Hypothesis 5: Relationship Between Implementation Tactics and Purchase Participant Characteristics—Moderating Effect of Stage of Downsizing

Hypothesis 5 states that the strength of the predicted relationships between severity of implementation tactics and (1) role conflict, (2) risk aversion, and (3) organizational commitment will be greater for buying centers within Stage 1 organizations compared with buying centers within Stage 2 organizations. No statistical support is found for these hypothesized effects.

Hypothesis 6: Relationship Between Outcome Expectations and Purchase Participant Characteristics—Moderating Effect of Stage of Downsizing

Similarly, Hypothesis 6 states that the strength of the predicted relationships between negativity of outcome expectations and (1) role conflict, (2) risk aversion, and (3) organizational commitment will be greater for buying centers within Stage 1 organizations compared with buying centers within Stage 2 organizations. No statistical support is found for these hypothesized moderating effects. Statistical support is, however, found for negativity of outcome expectations' positive main effect on purchase participant role conflict ($\beta = .58$, $p < .01$) and risk aversion ($\beta = .41$, $p < .01$), as well as negative main effect on purchase participant organizational commitment ($\beta = -.46$, $p < .01$).

DISCUSSION

Briefly, based on the sociology, psychology, and marketing literatures, the major thesis of this research is that the anxiety produced by organizational downsizing leads to shifts in the way departments and work groups within downsized firms are structured and managed. Furthermore, it is posited that these anxieties and shifts lead to changes in buying center structure and purchase participant characteristics. It also is argued that the intensity and duration of the expected effects likely will be significantly influenced by the degree of downsizing that has taken place, the severity of implementation tactics used to accomplish downsizing, and the negativity of outcome expectations held by organizational members. Finally, it is proposed that the impact of downsizing will be greater

TABLE 3
Standardized Regression Coefficients (hypotheses tests)

	Dependent Variables					
Independent Variables	*(+) BGAUTH*	*(+) BGRULS*	*(–) BGDECS*	*(+) ROLE*	*(+) RISK*	*(–) ORGCOM*
Degree of downsizing (Proposition 1, Proposition 4)	–0.08	0.01	0.12	0.12***	0.05	0.02
Severity of implementation tactics (Proposition 2, Proposition 5)	0.01	–0.11	0.06	–0.00	0.08	0.07
Negativity of outcome expectations (Proposition 3, Proposition 6)	0.28*	0.10	–0.14***	0.58*	0.41*	–0.46*
Stage of downsizing[a]	0.11	–0.40	0.11	0.89*	0.18	–0.54**
Degree of downsizing • stage (Hypothesis 1, Hypothesis 4)	0.54*	0.19	–0.42**	0.02	0.07	–0.28***
Severe implementation tactics • stage (Hypothesis 2, Hypothesis 5)	0.53**	0.05	0.35	–0.25	–0.34	–0.31
Negative outcome expectations • stage (Hypothesis 3, Hypothesis 6)	0.02	0.10	–0.01	–0.25	0.27	–0.16

NOTE: BGAUTH = centralization of authority; BGRULS = emphasis on rules and procedures; BGDECS = participation in decision making; ROLE = role conflict; RISK = risk aversion; ORGCOM = organizational commitment. The following is an example of the estimated regression model for the dependent variable BGAUTH (centralization of authority) as shown in Table 2. BGAUTH = –0.08(degree of downsizing) + 0.01(implementation tactics) + 0.28(negative outcome expectations) + 0.11(stage of downsizing) + 0.54(degree)(stage) + 0.53(tactics)(stage) + 0.02(negative expectations)(stage).
a. Dummy coded: Stage 1 = 1, Stage 2 = 0.
*$p < .01$. **$p < .05$. ***$p < .10$.

within Stage 1 organizations as compared with Stage 2 organizations.

Findings: Moderating Effect of Stage of Downsizing

Findings related to the moderating effects of stage of downsizing indicate that in those Stage 1 organizations experiencing higher degrees of downsizing, sellers can expect to find increased levels of centralization of authority and decreased levels of participative decision making within buying centers. Also, greater centralization of authority within buying centers will be found in those Stage 1 organizations using more severe implementation tactics to accomplish downsizing. In addition, findings indicate that higher degrees of downsizing in Stage 1 organizations also will result in decreased levels of organizational commitment among purchase participants.

Findings: Main Effect of Downsizing Characteristics

Findings related to the main effect of downsizing characteristics (i.e., degree of downsizing, severity of implementation tactics, and negativity of outcome expectations) indicate that both greater degrees of downsizing and greater negativity of outcome expectations will increase levels of role conflict among purchase participants in downsized organizations. Furthermore, greater negativity of outcome expectations also will increase levels of risk aversion and decrease levels of organizational commitment among purchase participants. In addition, findings indicate that greater negativity of outcome expectations will increase centralization of authority and decrease participative decision making within the buying centers of downsized organizations.

Managerial Implications

In today's environment, marketers increasingly search for ways to better satisfy customers' needs. To that end, some of the findings reported here may provide insights to help marketers refine their efforts. For example, increased levels of centralization of authority and decreased levels of participative decision making in the buying groups of Stage 1 downsizing firms (especially those experiencing high degrees of downsizing and/or using more severe tactics to downsize) suggest that marketing efforts should be directed toward upper-level managers within these buying organizations very early in the purchase process. That is not to say other buying group members should be bypassed. Rather, it emphasizes the importance of not relying solely on efforts to reach front-line buying group participants. In contrast, in Stage 2 firms characterized by less centralization of authority and more participative decision making, early direct targeting of upper-level managers may be inappropriate.

Additional findings providing insight into refining the marketing approach can be found in the increased levels of role conflict and risk aversion found in downsized firms—especially those experiencing greater degrees of downsizing and/or greater negative outcome expectations. First, when purchase professionals are experiencing role overload, key motivators often include the ability to save time and simplify purchasing and inventory management processes. Suppliers can help by offering supplier-managed inventory solutions, electronic information-sharing systems, and rapid response strategies to accommodate changing customer demand (e.g., through inventory buffers and flexible warehousing, distribution, transportation systems). However, a word of caution is warranted. If downsizing initiatives were *cost driven only*, marketers need to ensure that these types of added customer services

also will result in benefits to the vendor (e.g., greater volume, improved margins).

Second, as levels of role conflict increase, vendors should place greater emphasis on helping purchase participants reduce conflict and reach consensus. One way this might be accomplished is by providing improved support materials to all buying group members (i.e., cost-benefit analyses, user-friendly product specifications, technical information sources, and product demonstrations). In addition, when purchase participants are exceptionally risk averse, as may be the case especially when survivors hold more negative outcome expectations, the importance of price diminishes in favor of risk-reducing features in the offering. These types of features might include performance guarantees, extended warranties, on-site installation, and on-site and remote technical assistance (24 hours/7 days). Also, highly risk-averse buying group members likely will favor known vendors and proven products. In contrast, buying groups in Stage 2 firms, where *intelligent* risk taking is encouraged, may be more likely to be receptive to adopting new products or technologies.

Finally, it is important to note that before various marketing strategies can be used, one must ascertain which of the two stages the downsized buying firm is in. Like most effective sales and marketing efforts, reliable customer information is key. Some of the more important questions to ask include the following:

- What was the total percentage reduction in the firm's workforce? In the purchasing department?
- How many downsizing initiatives did it take to accomplish this total workforce reduction? Purchasing department reduction?
- Over what period of time did these downsizing initiatives take place?
- What was the predominant method used to reduce the workforce? The purchasing department?
- What is the general organizational climate among survivors, and what are their expectations for the future health of the firm? What are the expectations of survivors in the purchasing department?
- Do survivors feel that downsizing was necessary and will accrue needed benefits to the firm?

Research Contributions and Limitations

One contribution of this research is that it provides the first major test of Sutton and D'Aunno's (1989) explanation for the divergent predictions and findings offered by the threat-rigidity thesis and classic administration theory. Another contribution of this research is that it builds on Brockner et al.'s (1987, 1994) examination of the effects of organizational downsizing and extends that work into the domain of marketing. The findings reported here regarding purchase participants' levels of role conflict, risk aversion, and organizational commitment provide additional support for these previous works in a different research context, thus potentially increasing the validity of their findings. This research also adds to the rich body of literature and knowledge focusing on business-to-business marketing in general and organizational buying behavior in particular.

Among potential limitations, while the results of the tests used to assess reliability and validity of scales in this study provide some level of confidence, there is a need for further testing using different samples and multiple methods for further verification. Also, the assumption is made that purchasing professionals working within respondent organizations are in a position to accurately assess and report the impact downsizing has had on buying group structure and purchase participant characteristics. The problems surrounding the use of key informant data have been discussed throughout the literature (cf. John and Reve 1982; Phillips 1981). Yet, reliance on key informant data continues to be a widely used methodology.

Finally, a limitation and a contribution of this work lie in the fact that some of the constructs investigated here have not been examined before in the context of organizational buying behavior. Therefore, the results and implications presented must be viewed with a certain amount of reservation.

APPENDIX
Final Measures and Items

1. Centralization of Authority (adapted from Barclay 1991; McCabe 1987)[a]

1. Decisions made by the buying group are subject to review by management prior to final approval.
2. Going through the proper channels of authority is stressed throughout the purchase process.
3. Buying group members rarely have the authority to exercise their own judgment during the purchase process.

2. Formal Rules and Procedures (adapted from Barclay 1991; McCabe 1987)

1. In this company, the buying group must follow strict procedures.
2. Throughout the purchase process, buying group members are expected to follow existing rules.
3. Management is very strict with regard to following written rules and procedures throughout the purchase process.

3. Participative Decision Making (adapted from McCabe 1987)

1. The highest ranking members of the buying group often make purchase-related decisions without consulting other buying group members.[b]
2. Decisions related to buying roles and responsibilities often are made without individual buying group member involvement.[b]
3. Buying group members' suggestions concerning how to proceed are rarely given careful consideration before action is taken.[b]

4. Risk Aversion—New Scale

1. This company discourages its employees from taking risks.
2. If I were to make a bad decision, my status within the company could be jeopardized.
3. In this company, it is better to play it safe than to take a chance.
4. In this company, there is little tolerance for errors or mistakes.

5. Role Conflict (adapted from Michaels, Cron, Dubinsky, and Joachimsthaler 1988)

1. I receive an assignment without the manpower to complete it.
2. I receive incompatible requests from two or more people.
3. I receive an assignment without adequate resources to execute it.

6. Organizational Commitment (adapted from Michaels et al. 1988)

1. I talk up this company to my friends as a great company to work for.
2. I find my values and this company's values are very similar.
3. This company really inspires the very best in me in the way of job performance.

7. Negative Outcome Expectations (adapted from Thomas, Clark, and Gioia 1993)

1. Downsizing will not result in the objectives this company hopes to achieve.
2. It is unlikely that overall this company will gain a great deal from downsizing.
3. The extent to which this company has downsized has negative implications for the future.
4. Downsizing will have an overall negative effect on this company.

8. Degree of Downsizing—New Scale

In your opinion, which of the following best describes the total amount your company has downsized over the past 10 years?

None ☐ 1%-15% ☐ 16%-30% ☐ Greater than 30% ☐

9. Implementation Tactics (suggested by Greenhalgh, Lawrence, and Sutton 1988)

In your opinion, which "one" of the following best describes the predominant method used by your company to accomplish its downsizing goals? (Please choose only one)

Natural attrition	Voluntary redeployment	Involuntary redeployment	Layoff with assistance	Layoff without assistance	Abrupt termination
☐	☐	☐	☐	☐	☐

10. Stage of Downsizing—New Scale

Please check the following period(s) your current company was in the process of downsizing. (Please check as many periods as appropriate)

Prior to 1985	☐	1991-1993	☐
1985-1987	☐	1994-1996	☐
1988-1990	☐	Other: _____	

In your opinion, will your company downsize further between now and the year 2000?

No ☐ Yes ☐ If yes, how much more? _____% (approximately)

a. Above items 1-7 used the scale 1 = *strongly disagree*, 4 = *neither agree nor disagree*, 7 = *strongly agree*.
b. Reverse coded.

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NOTES

1. Downsizing often occurs as a direct result of corporate mergers. For example, in December 1998, Citigroup announced plans to cut 10,400 workers (6% of the company's workforce) as a result of the merger between Citicorp and Travelers Group, Inc. In December 1998, MCI WorldCom, Inc. announced plans to cut 3,750 jobs (5% of the company's workforce) as a result of WorldCom's merger with MCI Corp. Additional downsizing initiatives directly related to mergers include Compaq Computer's merger with Digital Equipment (17,000 jobs cut), Exxon's merger with Mobil (12,000 jobs cut), NationsBank's merger with BankAmerica (8,000 jobs cut), and British Petroleum's merger with Amoco (6,000 jobs cut).

Downsizing initiatives are also frequently associated with corporate takeovers. For example, in December 1998, Seagram Co. announced plans to cut 3,000 jobs as a result of its takeover of PolyGram NV (20% of PolyGram's total workforce). Similarly, in November 1998, as part of its takeover of Banker's Trust, Deutshe Bank announced plans to cut approximately 5,500 jobs in New York and London.

Finally, downsizing is often linked directly to corporate restructuring efforts. For example, in December 1998, Johnson & Johnson announced plans to cut 4,100 jobs (4% of its workforce) as part of an $800 million restructuring effort. In November 1998, Texaco announced plans to cut 1,000 jobs (5% of its workforce) in a restructuring effort designed to save approximately $200 million annually. Similar downsizing initiatives are linked to recent restructurings at Polaroid Corp., Diebold, D. E. Shaw & Co., and Levi Strauss & Co.

2. It should be noted that in recent years, several theoretical models have been developed and/or applied to various aspects of organizational downsizing. For example, the concepts of "procedural and distributive justice" have been adapted from the psychology literature and used to help explain the variance in survivors' responses to downsizing (cf. Brockner et al. 1990). Similarly, the Lazarus theory of stress is used by Mishra and Spreitzer (1998) to help explain the factors that influence survivors' responses to downsizing.

However, while these competing (or, perhaps, complementary) theoretical models provide useful explanatory contributions, none addresses the constructs of interest in this study (i.e., centralization, formalization, participation, role conflict, risk aversion, organizational commitment) as directly as Sutton and D'Aunno's work (Sutton and D'Aunno 1989; D'Aunno and Sutton 1992).

It is also interesting to note that some of these other theoretical models incorporate some of the same explanatory constructs discussed by Sutton and D'Aunno (1989) and examined empirically in the study present here. These shared constructs include role conflict (i.e., "role overload"), outcome expectations (i.e., "trust in management"), and implementation tactics (i.e., "perceived justice") as described in Mishra and Spreitzer (1998), as well as implementation tactics (i.e., "organizational caretaking"), organizational commitment (i.e., "organizational commitment"), and Stage 1 to Stage 2 transition (i.e., "likelihood of future layoffs") as described in Brockner et al. (1990).

3. *Centralization*—the degree to which authority, responsibility, and power are concentrated within the decision-making unit. *Formalization*—the extent to which activity in a buying group is formally prescribed by rules and procedures. *Participation*—the extent to which representatives from various departments and/or functional units are directly involved in a purchase decision.

4. *Role conflict*—the degree of congruency or compatibility in the requirements of job-related roles relative to a set of standards or conditions that impinge on role performance. *Risk aversion*—the degree to which purchase participants believe it is best to play it safe and avoid taking risks, especially if they may be penalized if a wrong decision is made. *Organizational commitment*—the relative strength of an individual's identification with and involvement in his or her organization.

5. *Role overload*—the extent to which various tasks exceed the amount of time and resources available for their accomplishment.

6. The one two-item and two single-item measures were used to investigate matters of fact rather than perceptual or conceptual constructs. These items included stage of downsizing, degree of downsizing, and implementation tactics used to downsize. Throughout the sequence of pretest interviews, it was clear that respondents were able to answer these three questions with little hesitation and with great confidence of accuracy.

First, the difference between Stage 1 and Stage 2 organizations was determined by asking respondents the following: (1) during what years did your company engage in the process of downsizing? and (2) do you believe your company will downsize further between now and the year 2000 (which represented a 2-plus year period at the time the surveys were administered)? If the respondent indicated that his or her company had downsized in the recent past (i.e., 1991-1996) and was expected to downsize between 1997 and 2000, then the firm was considered a Stage 1 organization. Similarly, if the respondent indicated that his or her company had downsized between 1994 and 1996 (regardless of future downsizing plans), the firm was considered a Stage 1 organization. If the respondent indicated that his or her company had not downsized since 1993 and was not expected to downsize further between 1997 and 2000, then the firm was considered a Stage 2 organization. Finally, if the respondent indicated his or her company had never downsized (31 of total), the survey was eliminated.

Second, for degree of downsizing, respondents were asked to indicate the total amount (expressed as a percentage) their company had downsized over the past 10 years. Virtually all downsizing initiatives are reported by companies as to both total numbers of jobs to be cut and the percentage of the current workforce that total number represents (e.g., "Goodyear to slash 2,800 workers, equal to 3% of its global workforce" [February 3, 1999]).

Third, respondents were asked to identify the predominant method used by their company to accomplish its downsizing goals. The choice was among six implementation tactics: natural attrition, voluntary redeployment, involuntary redeployment, layoff with assistance, layoff without assistance, and abrupt termination.

7. This procedure follows Moorman, Deshpandé, and Zaltman (1993), who suggest it as a means of overcoming "the problems associated with purifying large numbers of constructs by confirmatory factor analysis and the importance of establishing unidimensionality only for highly theoretically related measures" (p. 89).

8. *Organization demographics*—total sales range from $1.43 million to $84,400,000 (mean = $6,261,000), total incomes range from $0 to $10,081,000 (mean = $813,000,000), ages of organizations range from 1 to 30 years (mean = 27.5 years), total numbers of full-time employees range from 7 to 380,000 (mean = 22,947), and numbers of people in purchasing departments range from 1 to 1,000+ (mean = 42.2). *Respondent demographics*—ages of respondents range from 23 to 62 (mean = 43), educations of respondents ranges from high school to graduate degree (mean = college degree), years of purchasing experience range from 2 to 13 years (mean = 11.5 years), years with current organization range from 2 to 13 years (mean = 7.5 years), and years in current department range from 2 to 13 years (mean = 4.5 years).

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